INSTITUTIONAL ESG & CLIMATE ENGAGEMENT BRIEF: ITHACA ENERGY PLC

Target Company: Ithaca Energy plc (LSE: ITH)
Sector: Oil & Gas Exploration & Production (UK Continental Shelf)
Evaluation Benchmark: IFRS S2 Climate-related Disclosures / TCFD
Review Period: 2020–2025 Reporting Cycles

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1. EXECUTIVE SUMMARY & MULTI-YEAR COMPLIANCE SCORECARD

While Ithaca Energy exhibits satisfactory baseline compliance with core TCFD operational expectations—underpinned by established Health, Safety, Environment, and Sustainability (HSE&S) governance and operational ERM integration—material disclosure deficiencies emerge under the rigorous, forward-looking investor mandates of **IFRS S2**. Ithaca maintains strong operational tracking of operated Scope 1 and 2 emissions (~17.2 kg CO_2e/boe baseline) and understands UK fiscal risks (e.g., Energy Profits Levy). However, the company has not published comprehensive Scope 3 footprints, lacks audited quantitative climate scenario models, and provides insufficient disclosure regarding balance sheet exposure to carbon pricing and asset stranding.

IFRS S2 / TCFD Pillar	TCFD Status	IFRS S2 Status	Multi-Year Assessment (2020–2025)
Governance	Compliant	**Partial**	Board HSE&S Committee active; board climate competency assessments not detailed.
Strategy: Risks & Opportunities	Compliant	**Compliant**	Robust identification of UKCS regulatory, physical, and fiscal risks.
Strategy: Scenario Analysis	Partial	**Gap Identified**	Qualitative NSTD alignment only; lacks quantitative 1.5°C/2°C financial modeling.
Risk Management	Compliant	**Compliant**	Full integration of physical and transition risks into core corporate ERM.
Metrics: GHG Emissions	Partial	**Gap Identified**	Scopes 1 & 2 fully tracked; Scope 3 (Category 11) absent or materially incomplete.
Metrics: Targets & Financials	Partial	**Partial Gap**	Exec comp tied to emissions; missing internal carbon price and asset risk percentages.

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2. KEY DISCLOSURE GAPS (IFRS S2 EVALUATION)

- **Omission of Scope 3 Value Chain Emissions (IFRS S2.B29–B31):** Disclosures focus predominantly on operational boundaries. Ithaca has not yet quantified downstream Scope 3 Category 11 (Use of Sold Products), which typically represents >80% of an upstream producer's full lifecycle carbon footprint.
- **Absence of Quantitative Financial Scenario Modeling (IFRS S2.22):** Climate resilience reporting relies on qualitative milestones derived from the North Sea Transition Deal (NSTD). Ithaca has not published auditable quantitative scenario analyses (e.g., IEA NZE 1.5°C or APS) detailing projected revenue, cash flow impacts, or asset-level impairment sensitivities under divergent commodity and carbon price trajectories.
- **Unquantified Financial Vulnerability & Internal Carbon Pricing (IFRS S2.29):** Ithaca does not disclose the monetary amount or percentage of balance sheet assets vulnerable to transition and physical risks, nor does it disclose an explicit internal carbon price (shadow or actual $/tonne) used to de-risk capital allocation decisions.

- **Board Competencies & Governance Controls (IFRS S2.6):** Governance disclosures verify committee remit over emissions, but omit specific evidence demonstrating board-level climate proficiency, third-party climate advisory integration, or formal controls overseeing non-financial climate reporting.

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3. RECOMMENDED INVESTOR ENGAGEMENT QUESTIONS

1. **Scenario Analysis & Impairments:** *"When will Ithaca disclose a quantitative, multi-scenario financial model (including an IEA 1.5°C pathway) that demonstrates resilience and isolates asset impairment sensitivities across varying carbon prices?"*
2. **Scope 3 Category 11 Roadmap:** *"What is the explicit timeline and methodology for publishing Ithaca's full value chain Scope 3 emissions, specifically Category 11 (Use of Sold Products), in compliance with the GHG Protocol?"*
3. **Internal Carbon Pricing (ICP):** *"Does management apply a shadow carbon price during capital expenditure sanctioning for new North Sea developments, and if so, at what price point per tonne of CO_2e is this modelled across the asset lifecycle?"*
4. **Balance Sheet Vulnerability:** *"What specific percentage and monetary value of Ithaca's upstream book assets are considered vulnerable to accelerated decommissioning or impairment under UK Net Zero transition policies?"*
5. **Board Climate Competency:** *"What structured framework or external training is utilized to ensure the Board and the HSE&S Committee possess the technical competencies required to manage capital deployment amid stringent IFRS S2 standards?"*

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4. ACTIONABLE STEPS FOR ITHACA ENERGY TO ALIGN FULLY WITH IFRS S2

1. **Calculate and Disclose Comprehensive Scope 3 Footprint:** Implement standard GHG Protocol calculations to measure and report Scope 3 Category 11 emissions alongside gross operated Scope 1 and Scope 2 (market- and location-based) figures in the next reporting cycle.
2. **Execute Quantitative Climate Scenario Stress-Testing:** Develop dynamic discounted cash flow (DCF) models stress-tested against the IEA Net Zero by 2050 (1.5°C) and Announced Pledges Scenarios (APS), disclosing the resulting impacts on asset valuations and field economic limits.
3. **Formalize Internal Carbon Pricing (ICP) in CapEx Approvals:** Institutionalize and disclose an ICP (e.g., aligned with UK ETS and central bank baseline trajectories) applied systematically to all Final Investment Decisions (FIDs) and M&A screening.
4. **Publish Climate Financial Effect Metrics in Financial Accounts:** Provide explicit disclosure notes within the audited financial statements indicating the percentage of carrying assets vulnerable to transitional stranding, decommissioning liabilities, and physical storm hazards.
5. **Enhance Governance Disclosures:** Detail the Board of Directors' climate skill matrix, specifying climate-related credentials, management review cadences, and the direct percentage weighting of climate performance metrics in executive remuneration scorecards.